such situations, some of the second-guessers and crystal-ball gazers tried to gloss over the implications of the collapse, while others appeared to take an almost sadistic delight in prophesying even worse things to come.

Two days later, several newspaper and wire-service correspondents descended on me. They wanted to know my opinions and reactions and asked what I was doing because of the break in stock prices. I told them quite frankly that, while I sympathized wholeheartedly with anyone who had lost money because of market developments, I saw little if any reason for alarm and absolutely none for panic.

The over-all current business picture was favorable and, what was even more important, gave promise of getting better in the future. There was nothing basically wrong with the American economy nor the vast majority of companies whose stocks were listed on the New York Stock Exchange. In my view, some stocks had been grossly overpriced. Irrational buying had driven their prices to totally unrealistic levels. The May 28 break was an inevitable consequence.

I said that I felt the stock market was in a much healthier and certainly in a much more realistic position because of the long-needed adjustment of prices. As for what I was doing, the answer was simple. I was buying stocks.

Stock certificates are deeds of ownership in business enterprises and not *betting slips.*

"I'd be foolish *not* to buy," I explained to a young correspondent who looked as though he thought I'd taken leave of my senses by buying when everyone else seemed to be selling. "Most seasoned investors are doubtless doing much the same thing," I went on, feeling somewhat like a schoolmaster conducting a short course in the First Principles of Invest-